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The Yale Political Quarterly

An Undergraduate Publication

VOLUME 20, NUMBER 3, MARCH 1999

TWENTI ETH ANNIVERSARY

Michael Maltese

Improving Congressional Oversight

Josh Chafetz

Commentary: That Depends on the Meaning of the Word 'Commentary'

Nicole Hinnebusch

The Ethics and Economics of Agricultural Biotechnology

Christina Bost

Economic Reform of a Russian 'Virtual' Economy

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Going To the Root...

Improving trust in Congressional Oversight by restoring faith in Congress

Michael F. Maltese

Who are we? Sociologists constantly attempt to develop ways in which to pinpoint the essence of social America. Yet, even they could not have chosen a more raunchy or insightful litmus test than the Clinton-Lewinsky affair, which defined America in 1998. Preliminary results reveal the deafening hypocrisy of women's advocacy groups who have remained silent, the disgust of hard-line conservatives who have been restlessly awaiting a legitimate excuse to oust Clinton, Democrats displaying lapdog loyalty to their chief, and political scientists scrambling to decipher the long term significance of the impeachment proceedings. But to the voting public, the demonstration of punitive Congressional action has engendered vast distrust not only of public officials but also of their motives. To the detriment of Congress, increasing suspicion of Members keeps voters away from the polls. By extension, Congressional Oversight, or Congress's mandated function to ensure quality government, suffers from the infectious skepticism of the American public. Hence action is imperative in order to restore faith in a body designed to represent and serve all Americans.

In its most rudimentary form, Congressional Oversight aims to ensure that the federal government runs as efficiently as possible. Through initiating inquiries, holding hearings, threatening funding, granting immunity, scoring, *carroting*, taking staff depositions, and a number of other methods, Congress acts to make office holders accountable throughout the federal government. Currently, popular distrust for legitimate, money-saving oversight stems from the principal problem of distrust of Congress as a whole. People are skeptical of their representatives and when given an option that few have throughout the world, the ability to vote, nearly 2/3 of eligible voters choose not to.[1]

That said, if action is taken to restore faith in Congress, oversight will concomitantly benefit. At the core of distrust in Congress are three issues. First, partisanship has engulfed the nation's capital, serving to frustrate voters and increase legislative gridlock. Second, severe disenfranchisement exists between constituents and their representatives in Washington; a development which has led to a frighteningly low voter turn out. Finally, the federal government through its immensity, has become utterly complex and in need of reform.

Once these issues are addressed on even the most basic level, Congressional Oversight will benefit significantly in the eyes of the public and in the hands of the Members who carry out the task each and every day.

Michael Maltese is a visiting scholar at Harvard University (from the University of Chicago).

Dangerously Excessive Partisanship

Partisan bickering in Washington, DC and in state capitals throughout the country distances the public from choices that are, by design, meant to be made in their best interests. Moreover, the *en masse party approach* pools the individual ingenuity of Members into a block ideology that wields the actual power.

Competing ideologies and a majority-minority dynamic characterize Democratic government. And yet to the extent to which party politics have infiltrated every aspect of government, it is no longer the balance of power, as Montesquieu originally offered, but rather a balance of parties that controls the U.S. Admonishments regarding the excesses of party politics stem back to George Washington's Farewell Address of September 1796. While conceding that it is "inseparable from our nature," he further went on to "warn you in the most solemn manner against the baneful effects of the Spirit of Party, generally."[2] Although some may argue that on the eve of the 19th century, partisanship between federalists and antifederalists was as fierce as it is currently, only now has it become a hindrance to the government's progress. Further, it eliminates the legislative member's ability to vote his conscience or to legitimately take into account his constituents' interests. Party line votes routinely occur, resulting in underdeveloped compromise and fierce majority rule, passing legislation solely as the majority sees fit. All too often, rather than working hand in hand with the minority, the majority passes a bill irrespective of the minority's qualms. This, in turn, causes the executive, if a member of the minority party in Congress, to veto the bill. This political merry-go-round is completed only when both parties feed the media with partisan blame. And thus the cycle perpetuates itself, producing the equivalent of a two step forward, two step backwards jig with no discernible net accomplishment.

Whereas it is one thing for Supreme Court Justice Clarence Thomas to vote lock step with Justice Antonin Scalia, it is quite another for over 200 individuals to vote consistently together with only a few on each side ever crossing the line. Take for example Republican Representative Michael Forbes of New York, who in January 1997, voted against Newt Gingrich's bid to serve a second term as Speaker of the House, unarguably the most influential position in the U.S. House of Representatives. He, alongside only nine other G.O.P. colleagues, were subsequently ostracized despite the Republican majority in the 105th Congress holding the slimmest majority for either party in four decades.[3] For nearly six months, roughly 1/4 of a House term, the bitter Gingrich suppressed attempts made by Forbes to introduce legislation, essentially making him a pariah in Congress. Republican National Committee spokeswoman Mary Crawford said of Forbes and his eight G.O.P. colleagues,"Our finance people were getting a clear message that some of our longtime donors didn't agree with those who didn't vote with the majority of the Republican conference, and didn't want to be seated at a table with them."[4] Finally, only after the two made up in June 1997, did Forbes' tenure take effect once again. The predicament is all too clear in the remarks by Crawford, which point to a looming partisan prowess in all legislative decisions.

At an *Institute of Politics* conference at the Harvard Kennedy School of Government pertaining to the Fall 1998 elections, former member of Congress from New York's 13th District, and now a Kennedy Fellow, Susan Molinari, argued quite convincingly that the House represents ordinary individuals throughout the country who feel strongly about one or two issues.[5] She added that the House, in theory, epitomizes an assembly of those who care most about the issues on the table. Yet, despite Molinari's first hand knowledge of the House and its functions, partisanship has engulfed the sound minded in the eyes of the public. Often, it appears to take the shape of a polarized body, actively attempting to lobby support for one cause or another, through log rolling and other methods, all of which can be instantaneously trumped by partisanship. It could be well argued that the Senate is perhaps more reflective of mainstream American views, as it is simply difficult to imagine that all districts which are Republican or Democratic share the same degree of consensus on every issue submitted by their respective party. That is, some Democrats are fis-

cal conservatives, whereas some Republicans are liberal regarding abortion issues, but party line votes seemingly eradicate all such variances.

Partisanship is reigning high inside the Beltway, causing great frustration not only for those who enter Congress with the noble goal of revising one aspect and pushing one issue, but also for prospective voters who are turning away in record numbers. That said, two measures should be taken to decrease the unmitigated partisanship that has infected our nation's capital.

First, the president should no longer be allowed to raise money for Congressional members while in office. Some may contend that the president is the head, not only of the state, but also of the party he is a member of, hence he should be allowed to contribute to their promotion. To the contrary, the very idea of overtly raising campaign money on behalf of a Member appears to undercut the entire idea of a Member voting on his convictions or as a true representative of his constituents. The ties that are created, as a result, between the executive and legislative bodies, should be dislodged, as they inappropriately bind the two separate branches. Whereas it is common practice for the executive branch to advocate legislation in Congress, it should lobby on reason and not with the leverage of patent favors. Moreover, if a party is fortunate enough to gain a majority in both Congress and the Executive branch as was the case in 1992 for the Democratic party, there is no need to heed to the minority party, thus creating an oligarchical relationship.

Second, a mandatory ethics advisor should be placed in all 535 Congressional offices. This individual will be responsible for verifying the ethical content of all activities by the Member. Moreover, this individual will provide expert counsel to the Congressperson upon demand. Additionally, choosing this person will be at the discretion of the Congressperson, making it easy for a member to choose someone to their liking. At a pay rate of $65,000 per annum, assigning one Congressional scholar to each office will cost American tax payers approximately $34.75M. Another option would be to simply allocate an additional $65,000 to each member's office budget and leave it to the member to decide the exact compensation for this office holder.

On the surface this appears to be another attempt to add to the already unwieldy bureaucracy. But on closer examination, adding this position to every Congressional office accomplishes two very important goals which serve to justify the expense several times over. First, it ensures that all Members of Congress know the rules of the game, thus abrogating the "We didn't know" excuse for violations of the law. Second, and of greatest import, this policy will foster an attitude which may assist in undercutting the proliferation of partisanship. That is, members may feel that because they are subject to ethical scrutiny, other members and other parts of government, regardless to party affiliation, should be as well. This, in turn, should eliminate instances in which a party attempts to suppress an investigation into a member of its own party, as in the inquiry by House Inspector General John W. Lainhart into the corruption of House Clerk Robin Carle.[6] It stands to reason that if a member is assured that he is operating by the law, he will take greater umbrage in the preservation of ethics, especially by his colleagues.

Today, in the current political ambiance of Washington, partisanship has blazed a trail of increasing legislative gridlock, continually discouraging voters from trusting government. These two approaches targeted at decreasing partisanship are effective insofar as they aim to add individuality to Congress and its members. In the first proposal, Congress is urged to remain independent of the Executive Branch's tongs of good favor as they unfairly and inappropriately overlap into legislative decisions bestowed exclusively to their body. In the second instance, members of the legislative branch are placed on equal footing, providing incentive to stamp out wrong doing that degrades the credibility of the body.

Disenfranchisement

Members of Congress, at the commencement of their term in office take an oath to serve the people of the United States of America, without compromise and always in good faith. It is a tragedy that members of Congress have placed the lobbying interests of business moguls and the

party's opinion of an issue on the same tier of priorities as the general welfare of the public. Evident now more than ever, Congressional actions and decisions do not represent the public's point of view. It is important to note that, although the government need not overzealously court a fickle public, action must be taken to compensate for the spiraling voter turnout. The extent to which the public participates stems from a definition of what the democratic republic aims to accomplish. John Stuart Mill, in his ambitious *Representative Government*, argues that government's purpose is as follows:

> We may consider, then, as one criterion of the goodness of a government, the degree in which it tends to increase the sum of good qualities in the governed, collectively and individually; since, besides that their well-being is the sole object of government, their good qualities supply the moving force which works the machinery.[7]

And yet the question as to whether or not the government is increasing the *good qualities* of this country resonates to this day as evidenced by the President's recent impeachment, despite his overwhelming popularity. Two indicators accurately mark the extent of the dissociation of Congress, which in turn signify distrust in its actions: decreasing voter turn-out and the disrepute in which Congress is held.

As democracy is inherently contingent upon the will of the people, if the people show general disinterest, then U.S. democracy becomes more of a leadership of the minority of voters. The pitiable irony is that all eligible voters have the opportunity to change this, and yet they do not feel compelled to, as it is not apparent to them that the government is their instrument. Refusing to vote means refusing to take responsibility in government.

In the 1996 presidential election, voter turnout was under 50% for the first time since 1924.[8] Moreover, in 1998, voter turnout reached a historic nadir, the lowest since 1942.[9] Approximately 36% of the eligible electorate went to the polls, while 118 million voters chose not to vote. These statistics should serve as a harbinger that Americans have lost the motivation to play their part in the democracy. On a macro scale, it suggests that Americans take the ability to vote for granted, a disheartening reality in a world in which people are still risking their lives for such a luxury. London's *The Independent* broke a story in December 1998 suggesting that Russia's national politics are so corrupt that the situation is analogous to Al Capone's Chicago.[10] Further, due to unremitting violence throughout Nepal, attributed mostly to the leftist Nepal Communist Party-Maoist (NCP-M), 45 of 59 elections in December 1998 were canceled as eligible voters were frightened by reported kidnapping and bomb threats.[11] Hence, when placed in a world context, that only 1/3 of the American public are choosing to vote indicates an enormous problem in need of reform. Action must be taken to increase public participation in government. Increasing voter turn out, by extension, increases trust in government.

As partisan politics reign, voters are offered few choices: a Republican or a Democrat, and a long shot Independent. It is a given that Democratic and Republican lackeys will support whatever name appears on the ticket next the to their party, so people assume that the only choices of viable candidates are those who earn a party nomination. Again, another bane of the politically monopolized system, people are left to choose between only two legitimate candidates. Most often voters compromise, but yet others are still not satisfied and choose not to vote altogether. To increase voter turn out, the eligible members of the public must (i) be informed of government practices, and (ii) feel that their vote counts.

With current technology, informing voters requires relatively modest preparation and funds. As citizens routinely do not vote because they believe that neither of the candidates nominated by either party represents them, a Governmental Suggestion Week (GSW) would accomplish many things. First, it would offer an open-ended question to the American public: How can we make your government better serve you? For one week, the federal government would run TV ads, radio spots and construct a web site in order to reach as many Americans as possible, of all ages. This week should serve to educate the public about

government. Each House district would run an ad which displays the Representative's contact information, as well as that of the State's pair of Senators. Additionally, a committee will be funded for three weeks, one before, one during the GSW, and one after, to handle the suggestions that are offered and present them before Congress. Also, Congress should be sent back to their districts for the week to make public appearances at local libraries, soup kitchens and other locales. Perhaps public schools would hold workshops and seminars, inviting local politicians to come in and talk about the role of the people in a democratic form of government. At worst, this week will show that the distinguished Members of Congress truly care to know how they can make life for their constituents better and that they are willing to prove it. At best, this week will restore a great deal of trust that has dropped off as scandals have enveloped politics. Finally, this program would restore belief in the power of each and every vote as eligible individuals gain a true sense of what it means to legislate in the most advanced nation in the world.

If people are disinterested, democracy becomes a leadership of the minority.

The second suggestion for bridging the gap between Washington and the public is creating the office of Deputy Congressperson. Currently, members of Congress spend the majority of their time in Washington, relying on district offices, polls and scheduled events to keep them abreast of constituent affairs. Contrary to their intended purpose, district town hall meetings that aim to keep the Representative in touch with the pulse of voters usually turn out to attract local politicians from the same party, as opposed to the true diversity of the district. Perhaps a Deputy Congressperson could serve as the single liaison between the Member and the district. Some may argue that district offices already serve this purpose, except that the hierarchy of these offices is unclear. Additionally, voters have come to associate the Congressperson with Washington. Meanwhile, the offices serve perfunctory tasks of forwarding local newspaper clippings of criticisms and suggestions, as opposed to serving as the conduit between the people and their stake in the legislative branch of their government. This Deputy Congressperson would not succeed the Congressman if for some reason that member left office, but would instead serve as the well advertised number two person. This individual would circulate among the district offices and make public appearances in order to constantly solicit opinion from people.

The second reality of a disenfranchised public stems from a disheartened view of Congressional officials. Whereas legislative servants were once viewed as more respectable than doctors and members of clergy, current opinions of political officials are at a considerable low. The fierce campaigning that occurs every two years is in fact a strong turn-off to many prospective voters. For nearly two weeks every other November, people are barraged with commercials of immature squabbling rather than an open disclosure of personal credentials. Additionally, because people are turned off by the arrogance of partisan politics described earlier, they distance themselves from Congress and its processes.

It is for reasons enumerated above, that the House members should have a four year term of office instead of a two year term. The elections would overlap with two years of each presidency, hence the Presidential election of 2000 would be followed by a 2002 election of the entire House. An amendment to the Constitution would be required to displace the current number. Despite the severity of measures necessitated to enact such a policy, this measure is warranted for various reasons. First, anyone who has ever worked in a House member's office is familiar with the daily phone call from the campaign committee. The fact of the matter is that Congressmen spend too much time worrying about reelection and not enough time doing their duties. A two year term is simply not long enough for a Member to learn the ropes of government, make informed policy decisions and accomplish personal initiatives on behalf of his district. Perhaps Members will feel more comfortable making decisions that are right for America, and not just for their party, if elections are more spread out. Often swayed by the considerable money funneled into campaigns by the National Committees of each party, members feel obliged to vote in line with the party and to

remain loyal at the expense of their conscience, individuality and constituents. Finally, as most Congressmen are highly intelligent individuals with a keen sense of regard for the law, measures to induce individuality should be encouraged.

Another approach to bolstering confidence in Congress is for members to eschew the political buzzwords, such as health care reform, welfare initiatives, budget surplus, etc., and instead focus the public's attention on issues of grave importance. Whereas everyone is now completely aware of President Clinton's lapse of moral judgment, most are still unaware of the sale of ICBM guidance systems to China. Moreover, Americans erroneously assume that the U.S. military, as expounded by President Ronald Reagan in the 1980's, is still omnipotent and that the military is capable of disengaging any artillery fired at this country. National security issues ought to immediately draw our attention, but that attention has been numbed by scandal and political rhetoric.

While political and legalistic hairsplitting offer a paradox to Members of Congress, the public continues to distance itself from such activities, as it is perceived to trivialize issues of greater import. Hairsplitting and the strict enforcement of the law is imperative to preserving every codified policy. When acts or laws are compromised, they lose credibility. Congressional Oversight continues to monitor and pursue the law to the best of its ability, but one must question at what cost. Hairsplitting, as in the Clinton impeachment scandal, caused great popular discontent as those struggling to get health insurance pleaded for reform and implored government to legislate rather than spend time protecting the intricacies of the law. Although Congress clearly must stand firm on its reserved right to closely examine the law, it should, however, balance such responsibilities by addressing issues of considerable importance.

Complexity

Despite the fact that President Clinton has agreed to limit the growth of government, it has swelled to a level of complexity few can completely comprehend. The perplexing system lends itself not only to a difficulty in holding each facet accountable for allocated funds, but also begs the fundamental question: What is the federal government's purpose? Regardless of the answer to this question, the oversight process is left to deal with the gargantuan system before it, often employing its unwieldy tools with little success.

To truly comprehend the current state of a scant Congressional Oversight process attempting to match a huge federal bureaucracy, the root of the problem must be addressed: How can the cumbersome, daunting federal government be divided into more manageable sections? Congressional Oversight would surely benefit from a more palpable ability to oversee clearly defined portions of government. Despite worthy strides to keep accountable the federal government through issuing subpoenas, requesting documents, taking staff depositions, granting immunity, *carroting*, scoring, etc., the process is overwhelmed by issues which demand prompt attention. FBI Director Louis Freeh shocked the country in 1997 by telling a House Crime Subcommittee, "We are potentially the most dangerous agency in the country if we are not scrutinized carefully."[12] Such calls for improving the purview of Congressional Oversight and its effectiveness are on the rise. Often times, Congressional Oversight related Committees must choose which issues to assume and which to lay rest for the time being. Party line choices are made and log rolling occurs to secure the votes necessary to promulgate and suppress certain inquiries.

In order to address the said issue, the federal government as a whole should be broken down into 435 sections. Surely this can be accomplished through practical reasoning and a bit of simple arithmetic. Perhaps all federal agencies can be divided up according to funding allocation or size of work force. For example, the Department of Health and Human Services will have more fragments than the U.S. Information Agency. Once the bureaucracy is fragmented accordingly, members of the House will choose a field that interests them on the basis of seniority (when a tie occurs, the majority member chooses first). Dovetailing the four year election cycle, when the new House commences, fragments will be reassigned.

The goal of this project is three-fold.

First, it achieves what Congressional Oversight in its current form cannot, by breaking the federal bureaucracy down. Tools of Congressional Oversight are more appropriately applied when focused on a single section of an agency or situation than as an overarching approach to putting a handle on federal agencies, especially as they have proliferated quite rapidly in the 20th century. In other words, this is the best opportunity for Members to get their hands on the very inner workings of government, presumably with the hope of fixing what is broken and encouraging agencies which are running efficiently. If a member finds a certain practice or activity merits further inquiry by the body, he will bring the suggestion of investigation to the Chair and Minority Leader of the Congressional Reform and Oversight Committee. Again, through compromise and taking on what responsibilities can be met, matters will be addressed accordingly.

Second, this idea serves as a corollary to the previous notion of four year terms for House members. That is, this program is designed so that Members will develop a working relationship with their subset of the government. They will get to know the individuals in charge of each fragment and sidestep the partisan bickering which all too often emanates from some agency heads. Additionally, the section of the federal government will turn over semiannual reports to the assigned Congressperson, who will in turn brief Congress on the status of that department. Also, as in the case of the Department of Justice or Defense, where it is ostensible that more than one Member of Congress will be accountable, the group of Congressmen will be able to present an overview together. An argument against this proposal might contend that Congressmen are already busy with Committee assignments, trips back to their districts and living a normal life with familial responsibilities, hence it is both inappropriate and unfair to add to their already weighty schedules. Although Members work hard, adding the equivalent of a Deputy Congressmen in their home district should free up enough time to meet with a member of their Federal subset of government. This effectively divides the umbrella of Congressional Oversight into manageable bits and pieces which all members take part in. Additionally, oversight Congressional oversight will continue, as its efficacy is constantly demonstrated.[13] This program provides a dual focus. On one hand, a member is now responsible for a particular chunk of the government whereas the public is now aware of which individual is responsible for certain federal programs. Naturally, members will continue to, and possibly even increasingly, deploy the General Accounting Office (GAO) to assist them when they encounter suspicious or questionable activity, or simply uncover that certain annals of the Federal Government have not been reviewed since the rolling 20's. Just recently, Senator John Glenn, the ranking minority member of the Subcommittee on Investigations Committee on Governmental Affairs called on GAO to look into the Raul Salinas Citibank scandal. A comprehensive report exemplifying the diligence of the GAO was issued on 30 October 1998, approximately eight months after Glenn summoned the GAO.[14] Third, this process serves as yet another way of reducing partisanship, as Members will take a personal, individual stake in the federal government which in most cases will be unlike that of their party colleague.

The media are perhaps the only body in America more curious than the federal government. As its focus appears to slant in the direction of sound byte, quotable, snipits, adept politicians have adapted accordingly. Once Members refocus their statements on the floor of their respective Chamber in the direction of progress and sobriety, instead of catchy remarks designed solely for the media, Congressional discussion on the floor will achieve a new level of seriousness. Additionally, Senators and Representatives would be doing everyone a favor if they spent less time worrying about how the media will cover a story and more time on the actual element of government in which they are so entrenched. The concept of four year House terms would ensure Members a bit more flexibility in decision making, as election season would not be perpetually looming over head. Whereas the media focuses the American public on what it deems relevant, Congress must reassume the reigns and set forth what *it* believes significant. Only then will ordinary citizens associate with government and feel an obligation to play a role.

Finally, Congress can add credibility to the *Government Performance and Results Act* by threatening agencies which do not achieve certain markers within a fixed period of time. Several agencies are scoring below 10% on a scale which judges their goals and operations.[15] Perhaps if Congress enforces a policy of *deliver or drown*, these agencies will be forced to prove their worth. This action may confirm that some appendages of the federal government are simply unnecessary and undeserving of precious tax dollars. It may also force agencies to construct time and money saving means by which to operate in the future.

The product of scant Congressional Oversight is not merely a government unchecked, but rather a harbinger for a Congress which remains distant from the intentions embodied in the U.S. Constitution. The Constitution is intentionally vague in many areas and leaves open the possibility of alteration in order to allow the democratic republic to better serve citizens. To accept the current state of American disenfranchisement with their leaders, and to expect that the system of government will morph into a state of efficiency, are both myopic and impossible hopes. In order to strengthen the U.S. government's ability to serve each citizen, action must be taken to mandate accountability to the people.

Congressional Oversight, through efficient use of its tools, succeeds insofar as it can in battling the wall of bureaucracy which protects much wrongdoing from sight. By addressing the aforementioned issues which go to the root of the problem of distrust in Congress as a whole, Congressional Oversight will reap innumerable benefits. The American democratic republic is unquestionably an, if not the most, excellent form of rule ever formulated; yet it is also an increasingly complex body in need of timely reform. Too often, Members of Congress become entrenched in the celebration of the office, the gaudy banquets sponsored by concerned lobbyists and the competition surrounding which Members will receive the lionshare of campaign money for the upcoming election. By improving participation in government, Congress will become better attuned to its true purpose, which is to serve the interests of the people.

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[5] Institute of Politics, Kennedy School of Government, Online: <http://www.ksg.harvard.edu/iop>.

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[12] Gary Fields, "Director: FBI Needs More Oversight," *USA Today*, 6 June 1997, 3A.

[13] *See* Representative F. James Sensebrenner's trip to Russia's space center to check on a NASA related project. Warren E. Leary, "Space Station is Assembled, But Only on the Ground," *The New York Times*, 28 April 1998, Science Desk Column.

[14] Office of Special Investigations, "Private Banking: Raul Salinas, Citibank, and Alleged Money Laundering." *General Accounting Office Letter Report*, 30 October 1998, GAO/OSI-99-1.

[15] Dick Armey, "An Interim Report: Results Act: It Matters Now," Public Domain, 1997.

Commentary

That Depends on the Meaning of the Word "Commentary"

Josh Chafetz

It was 427 BC. "[T]he whole Hellenic world was convulsed"[1] with bloody civil wars between oligarchic and democratic factions. In describing the atrocities that the war precipitated, Thucydides makes the extraordinary observation that, "Words had to change their ordinary meanings and to take that which was now given them."[2] This perversion of language for political ends was the gasp of a civilization at its most desperate hour.

The abuse of language in a community locked in struggle is not surprising; language is an integral part of the peaceful functioning of the normal political process. Political action – action for the good of the entire political community – requires cooperation and unified action. As twentieth century political theorist Robert George puts it, "Unified action is possible only if individuals give each other a certain access to their own interior thoughts and will, at least to the extent necessary to set and achieve their common goals. The giving and accepting of that access is a species of *communicating*."[3] Sophisticated communication requires language, and language requires a broad agreement about what meanings attach to what combinations of symbols and sounds.

When people take it upon themselves to assign wholly novel meanings to combinations of symbols and sounds that, to the majority of the population, have distinctly different meanings, they contribute to the denigration of the language. As words lose their meanings, cooperation becomes increasingly difficult, until, at some point, unified political action is impossible. As language goes, so goes our ability to persuade. Absent persuasion, the only option left for political change is coercion. War, in short, is the continuation of politics by less communicative means.

It should not, then, surprise us that, during this period of upheaval in the Greek world, "Oaths of reconciliation, being only proffered on either side to meet an immediate difficulty, only held good so long as no other weapon was at hand."[4] Sure, both sides agreed to suspend fighting, but, really, doesn't the whole thing turn on what the meaning of "suspend" is?

It is AD 1999. The English used in political discourse is starting to bear a disturbing resemblance to the perverted Greek described by Thucydides. The most striking example, of course, is the peculiar brand of English spoken by our President, who appears to have chosen for his motto a slight twist on a phrase from Eliot: It is impossible to mean just what I say![5] Telling a federal grand jury that, "I'm trying to be honest with you and it hurts me,"[6] the President went on to display a true mastery of the art of the perversion of language.

When a prosecutor asked whether his lawyer's statement that "There is no sex of any kind, in any manner, shape or form with President Clinton" was false, the President infamously responded that "It depends upon what the meaning of the word 'is' is."[7] When asked about the impression that he gave in the Paula Jones deposition that he was never alone

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with Monica Lewinski, he replied that, "It depends on how you define 'alone.'"[8]

Whatever the President was engaged in, it was not communication. Theoretically, a person could answer any question posed to him with a request for a definition of the words used. Then, he could ask for a definition of the words used in the definitions. This is not communicating, it is babbling. The point is that, although no definition is ever *perfect*, we manage to communicate nevertheless because we all understand *generally* what "is" and "alone" mean.

Yet, the argument could be made that Clinton's statements, although uttered by a politician, were not made in the context of political discourse. I turn, then, to the case of the niggardly mayoral aide. David Howard, the former head of the Washington D.C. Office of Public Advocate, told two aides in a January 15, 1999 meeting that, "I will have to be niggardly with this fund because it's not going to be a lot of money."[9] Although both aides were taken aback, one accepted Howard's apology and explanation of the word's meaning (miserly, of no discernable etymological relationship to the racial slur), while the other stormed out of the room and refused to return. After talking with the mayor's chief of staff, Mr. Howard resigned and Mayor Anthony Williams accepted. The ensuing barrage of criticism – including a *Washington Post* editorial opining that, "David Howard should not have quit. Mayor Williams should bring him back – and order dictionaries issued to all staff who need them"[10] – led Williams to order a formal investigation into the incident. This prompted *New York Times* columnist Maureen Dowd, ever subtle, to proclaim that "Washington has wigged out."[11] MIT cognitive scientist Steven Pinker wrote that, although "the word was a disaster waiting to happen. . . . the misunderstanding can be overruled . . . thanks to the activity that psycholinguists call 'post-lexical-access processing' and that other people call 'common sense.'"[12]

Here, then, is a clear instance of the meaning of a word being plainly disregarded in political discourse. Perhaps the only thing more disheartening than the reaction to Howard's use of "niggardly" is Williams' ordering of a *formal investigation* into the matter. And yet, this, like President Clinton's evasions, are only single incidents of the cheapening of language at the hands of politicians. Most disturbing of all is the fact that politicians self-consciously learn to twist English to suit their purposes.

In 1990, GOPAC, Newt Gingrich's political action committee, issued "Language: A Key Mechanism of Control," a guidebook to political linguistic manipulation. The guide had two lists: one of "Optimistic Positive Governing Words," including *opportunity*, *challenge*, and *commitment*; and the other of "Contrasting Words," including *crisis*, *threaten*, *hypocrisy*, and *ideological*.[13] At a 1995 retreat, Democratic senators and staff members received a packet including, among other things, a copy of GOPAC's guide. The meaninglessness of these words is evident in that their order can be rearranged almost at random. One commentator compared "We have a precious opportunity to preserve our commitment to our families and protect the dreams of our children" with "Our families have precious dreams for our children, so we must preserve and protect our commitment to opportunity."[14] Which makes less sense? What does either variant mean?

The meaninglessness of political discourse has rather quickly spread to discourse *about* politics as well. As twenty-four-hour-a-day news outlets realize that they must come up with twenty-four hours per day of news, they grow increasingly desperate for pundits with fewer and fewer facts to say more and more – anything to avoid dead time. As one journalist (read, pundit) put it, "We are witnessing the punditization of the common man. Ignorance of the subject is no automatic disqualification."[15] The first rule of punditry, the journalist quickly discovered, is that "the answer needn't have much to do with the question."[16] He quickly comes to the conclusion that a pundit is the exact opposite of a journal-

War, in short, is the continuation of politics through less communicative means.

ist. A journalist discovers facts; a pundit has no need for them: "the more TV I do, the less time there will be for reporting and writing. If this keeps up, I will know less and less but say more and more on television. In other words, I will have turned myself into a genuine pundit."[17]

Alas, we are witnessing something more frightening than the punditization of the common man, and that is the punditization of the journalist. The journalist is supposed to be the person who stands between ignorance and the public. When politicians are willing to distort language for personal gain (President Clinton), political gain (GOPAC), or political correctness (Mayor Williams), then the journalist must be willing to say that solid facts exist and that they can be expressed in language. The journalist must stand up against a tide of meaninglessness and refuse to allow the political discourse to become muddied beyond comprehension, for, without language, there can be no persuasion, and, without persuasion, politics will continue by other means.

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[1] Thucydides, *History of the Peloponnesian War*, trans. Richard Crawley, ed. W. Robert Connor (London: Everyman, 1993), III.82 (p. 163).

[2] Ibid., III.82 (p. 164).

[3] Robert P. George, *Making Men Moral: Civil Liberties and Public Morality* (Oxford: Clarendon Press, 1993), 194. Emphasis added.

[4] Thucydides, III.82 (p. 164).

[5] *See* T.S. Eliot, "The Love Song of J. Alfred Prufrock," in *Selected Poems of T.S. Eliot* (New York: Harcourt Brace & Company, 1964), 15. The original line (line 104) is, "It is impossible to say just what I mean!" I will resist the temptation to point out the other obvious parallels between Prufrock and Clinton.

[6] Elizabeth Shogren and Richard A. Serrano, "Nation Views Clinton's Taped Testimony Before Grand Jury," *Los Angeles Times*, 22 September 1998, Online: <http://www.latimes.com/HOME/NEWS/REPORTS/SCANDAL/STORIES/lat_main0922.htm>.

[7] Ibid.

[8] Ibid.

[9] Yolanda Woodlee and Vanessa Williams, "Aide's Quitting Spurs Review By D.C. Mayor," *Washington Post*, 28 January 1999, Online: <http://www.washingtonpost.com>.

[10] "About 'Niggardly,'" *Washington Post*, 29 January 1999, Online: <http://www.washingtonpost.com>.

[11] Maureen Dowd, "Niggardly City," *New York Times*, 31 January 1999, sec. 4, p. 17.

[12] Steven Pinker, "Racist Language, Real and Imagined," *New York Times*, 2 February 1999, A19.

[13] John J. Pitney, Jr., "Tongue of Newt: The Political Power of Language," *Reason*, February 1999, 50.

[14] Ibid.

[15] Dana Milbank, "Washington Diarist," *The New Republic*, 8 February 1999, 42.

[16] Ibid.

[17] Ibid.

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Balancing the Ethics and Economics of Agricultural Biotechnology

Nicole Hinnebusch

Ever since Malthus predicted that a rapidly increasing population would exhaust the supply of food and check the growth of societies, economists have posited technological innovation as the 'solution' to overcoming this barrier. Proponents of agricultural biotechnology claim that their science offers the answer to alleviating the problems of world hunger, while at the same time reversing some of the adverse environmental effects of chemical-dependent farming methods.

According to them, we should develop the capabilities of their most productive technologies to alleviate poverty and eradicate epidemics that are attributable to malnourishment in the developing world. As Randy Hautea, director of the International Service for the Acquisition of Agro-Biotech Applications explains, "increases in both population and economic development are driving growth in world demand for better food and health care. Biotechnology offers the opportunity to identify values inherent in nature and use this to meet expanding demand for nutrition and health in a way that preserves the environment."[1] The solution to our problems seems simple enough.

After all, agricultural biotechnology is really not as novel a technology as it sounds. It is a specific subcategory of biotechnology that has, actually, been practiced for years through selective breeding and genetic engineering. What "life sciences" firms like Monsanto and Novartis are now proposing is only a short step further than existing techniques towards enabling the creation and improvement of agricultural products; for example, plants that have built-in protection against harmful viruses or bacteria, plants that can better tolerate salt, frost or draughts, or that have longer shelf lives. The possibilities of the science are broad in scope and not limited to plants- scientists are increasingly capable of isolating specific genes and bringing qualities from anywhere in nature into the genome of any living organism. In short, the revolution in agricultural biotechnology is remarkable enough to rival the "Green" revolution of the past decades, which allowed farmers to grow more food from hybrid seeds and chemical fertilizers. According to *Business World*, experts calculate that agrobiotechnology innovations have the potential to cause a "10% to 25% increase in productivity without requiring additional farmland, saving valuable forests, and animal habitats."[2]

The market for agrobiotechnological products is already enormous and it is growing. Within three years, the U.S. has gone from having virtually no genetically engineered crops to having more than 50 million acres,[3] with more than 20 varieties of genetically engineered foodstuffs on the market. This trend is expected to continue at an even faster pace as farmers recognize the benefits of less chemical-dependent farming.

However, the most significant effects of agrobiotechnology will probably materialize in the global market. Estimates differ, but there is a broad consensus that the global population is increasing at unsustainable rates given current food production methods. Most of this growth is concentrated in developing nations, especially South Asia, the Middle East and North Africa. These regions are not only the places where food security, or establishing secure sources of food production and imports, is the lowest and poverty is the

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highest, but they also tend to be politically unstable. In 25 years the world population will have increased by one-third, allowing the current population of around 6 billion jump up to nearly 8 billion people, and by the year 2050, even conservative estimates predict a population of around 9.5 billion people.[4] At the same time, land constraints are very real: the amount of land that we have for growing food is limited and will probably not increase much more than the six million square miles we currently have.[5]

In developing countries, population problems usually go hand-in-hand with environmental problems. The major problem is the impact of improper farming techniques leading to excessive soil erosion. Irrigation techniques are much less efficient than in the West, and governments short on funds lack the enforcement mechanisms or authority to ensure proper usage or cultivation of the land. And consistent with a socialist or nationalist agenda, many developing nations are biased in favor of subsidizing industry over agriculture and thus artificially deflate the prices of agricultural inputs and goods. The ensuing distortions in price signals create resource misallocations, sub-optimal production levels, and, ultimately, lower yields. Lower yields cause farmers to 'overwork' the land even more, thereby setting into motion a vicious cycle of lower productivity and harder land use.

The flip side of the coin is the water crisis being experienced particularly acutely in developing countries. The growing demand for water in these countries can be traced to rapid urbanization, population growth, income growth, and expanding irrigation. For many of these countries, political fears of external food dependency require that they remain agriculturally self-sufficient. However, this policy goal is totally unfeasible for many countries, particularly in the Middle East and North Africa (MENA). In most MENA countries, water is heavily subsidized but used inefficiently in agriculture. Agriculture's share of water consumption accounts for around 80-90% of total water consumption, in MENA countries.[6] This unbelievably high rate is despite the fact that agricultural water use yields a much smaller marginal product than industrial or household uses.[7] As water becomes scarce, it will need to be rationed to uses that have a higher marginal product. This means that, with the draining of regional aquifers, and continuing disputes over trans-border river rights of access, MENA countries will not have enough water to be agriculturally self-sufficient. They will therefore need to do two things: (1) import food from the West, and (2) invest in water-saving higher-yield farming technologies.

In developed nations, now standard 'monoculture' farming techniques have represented both a boon and a bane for farm productivity. While simplifying the farmer's job in one sense, in other ways, it makes his job far more complex. Put simply, a field of identical plants will be supremely vulnerable to insects, weeds, and disease, making the farmer more and more dependent on chemicals to solve the problems. However, chemical dependence adds a great deal of toxin to the environment. Hence the very pesticides that make monoculture sustainable are rapidly being lost due to resistance or heightened concerns about their danger.[8]

In both cases of developing and developed nations, therefore, it seems that biotechnology holds a critical role in increasing advancing the cause of efficient and sustainable agriculture.

With all these supposed benefits, why in the world would biotechnology be subject to some rather vocal political and social opposition? For example, European sentiment is strongly anti-biotech, as evidenced by recent outcries against cloning. With regards to agrobiotech, protests and destruction of trial fields have occurred in several countries, including France, Luxembourg, the U.K., Sweden, and Germany. Some public advertising efforts by American firms like Monsanto and the Swedish firm Novartis have reached the ears of political elites, but public sentiment remains unreceptive. Naturally, as the U.S. is the overall leader in biotechnological industries, [9] and does more basic research in genetic engineering and molecular biology than any other country, the U.S. is in a particularly strong strategic position to advocate agrobiotechnology.

Yet European opposition to the importation of U.S. 'frankenplants' has reached the point of almost risking a trans-Atlantic trade war. The Europeans have several objections to the current

state of U.S. regulation of the industry. Due largely to the "regulatory relief" campaign spearheaded by the Bush Administration, federal regulation of the biotech industry is largely voluntary at this time. Although biotech foods are required to show that there is a "reasonable certainty of no harm" in a food additive, that determination can be made *by the company* in consultation with the Food and Drug Administration (FDA). The glaring conflict of interest problem has, clearly, been ignored. Furthermore, although the FDA does require that food containing known allergens be labeled appropriately as such, genetically engineered foodstuffs carry no labels, as they are not considered "materially changed."[10] The guidelines of the Environmental Protection Agency (EPA) are largely subjective as well, requiring firms to show that the food falls under a certain level of human "tolerance" for the chemical, subject to a risk-benefit analysis. As regards Congress, so far there have been no laws have been passed that deal specifically with biotechnology or genetically engineered food.

And yet certainly the technology is not without its scientific risks. 'Uncertainty' is the main charge leveled against agrobiotechnology: some scientists fear that the unknown consequences of introducing something novel into the environment and the food chain. Related to this, fears that the new technology could create a kind of 'superbug' or 'superweed' have been voiced. For example, since genetically engineered pest-resistant potatoes are essentially crops with a Bt gene (a soil bacterium that produces organic incesticide) inserted into it, planting acres and acres of this crop may add so much toxin to the soil that insects may develop resistance to it.[11] If this happens, insects will have the advantage over the farmers, who will have been deprived of one of the safest insecticides they have in organic farming methods. Or consider the possibility of gene flow, where bumblebees may carry off the pollen of Bt plants to other related plants, and confer a new evolutionary advantage upon that species. All these risks could easily be termed a form of biological environmental pollution—whose implications are not yet fully understood – not by the government, the environmentalists, or the biotech companies themselves.

Agrobiotechnology is also not immune from strong ethical objections, such as the fear that the prominence of firms like Monsanto, armed with patent rights to artificially modified genes, may subject small farmers in developing nations to an unacceptably exploitative economic relationship of dependence. Selected genes that can produce new strains of crops are patentable, and furthermore, companies can collect royalties for selling the seeds of genetically engineered plants. Thus posing as yet another step towards the total 'corporatization' of farming, there is a real threat of unfairly burdening the farmers of developing nations, who would become dependent on corporate genetically engineered seeds, despite being unable to afford them.

The U.S. private sector has so far dominated the drive to develop the technology. Granted, as Per Anderson, Director General of the International Food Policy Research Institute in Denmark argues, because the public sector is not investing enough in agriculture research to solve the problems of the poor, "For better or for worse, the private sector will focus on solving problems for which they can make money with a big enough market to recover their costs, and that's the way the world works."[12] The U.S. market is so far dominated by only a few players, including Monsanto, Dow Chemical, Novartis, Mycogen, and DuPont, and for this elite group, profits are highly lucrative.

In addition to a decentralized regulatory regime and strong industry-university collaborations, intellectual property protection is very solid for biotech in the U.S. The legislative development has demonstrated Congress' recognition that secure intellectual property protection is critical in the industry because of the magnitude of upfront investments that the firms must make, spending millions of dollars and channeling enormous amounts of investment into research and development before a viable product can even be taken to the testing stage. The entire endeavor is tremendously risky; it requires massive amounts of capital to support projects that may or may not materialize at all. Without the guarantee of strong, enforceable patent rights, the industry probably would not survive.

What is quite novel about the patent

power of biotechnology is that the recurrent problem of patent violations can be redressed *biologically*. For example, transgenic crops are produced by splicing an agrobacterium loaded with a selected gene into a plant's nucleus. When the bacteria 'breaks into' the plant's DNA, scientists can also add a 'marker' gene that indicates that the plant is, for example, Monsanto's property after it leaves the lab. Technically, any scientist can perform a simple test in any crop field to determine if the plants being grown are utilizing Monsanto technology and if those crops fall under the license agreement terms. Even more sophisticated is Monsanto's new technology called the 'Terminator,' which is made to render a plant's seeds sterile after one planting season to ensure that the seeds must be re-purchased every year. This technology, obviously, is highly controversial. On the one hand, it protects the integrity of corporate patent claims from a violation of the license terms; a perfectly legal enforcement of rights. On the other hand, this technology spells the end of the age-old practice of saving seeds and has infuriated environmentalists.[13]

What we must conclude is that, like many other technologies, agricultural biotechnology is not simply the application of science in a politically objective, or value-neutral sense. Clearly we can recognize the possible benefits of this technology. However, it is both naïve, and politically and ethically irresponsible to dismiss all concerns when the risks of a technology are not fully understood, and when its instrumental application embodies strong political implications of unequal power and dependence. As one scholar notes, "what we see here is an ongoing social process in which scientific knowledge, technological invention, and corporate profits reinforce each other in deeply entrenched patterns, patterns that bear the unmistakable stamp of political and economic power."[14] The U.S. private sector in agricultural biotechnology has, clearly, positioned itself skillfully as the scientific savior to some of the world's most pressing and intractable problems. Yet we must consider that when we evaluate the merits of a particular technology and its potential application, we are simultaneously making profoundly important political and social choices about societal organization as well. Technologies are not simply tools or instruments, but in fact are "a way of building order in our world," so that when decisions are made to assimilate technologies into a social fabric, "different people are situated differently and possess unequal degrees of power as well as unequal levels of awareness."[15] As such, just as we carefully scrutinize politics, we must scrutinize technologies that have strong political implications such as agricultural biotechnology. Some important steps in this consideration would include establishing a regulatory regime that does not stifle the freedom of scientific research and entrepreneurial endeavor, but also does not suffer from obvious conflict of interest problems, and has more teeth in holding firms accountable for adverse technological implications. Instituting some basic ground rules for engineering more favorable power relations between the private sector and developing world farmers would also be desirable. Agricultural biotechnology does clearly have massive potential for developing and developed nations. At the same time, however, with our typically American affinity for applying the fruits of science to every conceivable aspect of our lives, we must also address larger and broader social values and responsibilities as a focal point of consideration in our minds, and a priority that must inevitably accompany and influence the choices we make to endorse or assimilate particular technologies.

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[1] Susan Stripe, "Biotechnology seen providing solutions to food, health issues," *Business World*, November 4, 1998.
[2] Ibid.
[3] Stan Grossfield, "Food For Thought: Safeguarding What We Eat," *The Boston Globe*, September 23, 1998. A1.
[4] James Meikle, "Science and Technology," *The Guardian*, August 27, 1998. 6.
[5] Ibid.
[6] John Waterbury and Richards, *A Political Economy of the Middle East*. (Oxford: Westview Press, 1996). 243.
[7] Ibid., 224.
[8] Michael Pollan, "Playing God in the Garden," *The New York Times*, October 25, 1998. 82.
[9] See <http://www.whitehouse.gov/WH/EOP/OSTP/CTIformatted/chap4/4infocom.html>
[10] Pollan, 132.
[11] Ibid.
[12] Thomas Hutchinson, "The World Speaks on Feeding the Hungry with Genetic Engineering," *St. Louis Post-Dispatch*, November 22, 1998. A12.
[13] Grossfield, 183.
[14] Langdon Winner, "Technologies as Forms of Life," *The Whale and the Reactor*. (Chicago: University of Chicago Press, 1986), 27.
[15] Ibid., 28-9.

American Perspective on a Russian Economic Debacle

Christina Bost

Russia is now effectively bankrupt. The current economic crisis in Russia was triggered on August 17 when the government was forced to devalue the ruble because of the falling confidence of investors. The International Monetary Fund's (IMF) first $4.8 billion installment, delivered in July, failed to stop investors' falling confidence in the Russian economy, leading to (former) Prime Minister Sergei Kiriyenko's decision to devalue the ruble and the subsequent default on short-term T-bills.[1] The Russian government has also defaulted on long-term debt not covered under the debt restructuring plan. These events led to the dramatic crash of the stock market and were exacerbated by the collapse of global prices for oil and other commodities. The government has voided trading against the dollar, and commercial banks with inadequate hard currency reserves have collapsed. Russian citizens are lining up to withdraw their money. With a harsh winter, regions in arrears with United Energy Systems (UES) and Gazprom may not get their utilities, and food is scarce. Given such events, it is vitally important that real changes be made to the Russian economic system.

During the past five years there have been numerous attempts by the Russian government to solve the continual problems of overdue payments between enterprises and other enterprises (inter-enterprise), enterprises and the government (tax), and enterprises or the government and workers (wage). These overdue payments are *arrears*; in Russia, any debt that remains for two or three months.[2] While nonpayment of tax and wage arrears has attracted a lot of media attention, it is not the real story. Payments are being made, but they are being made through bartering rather than with cash. The share of barter in payments among all industrial enterprises in Russia has now reached more than fifty percent.[3] The "virtual economy" that is represented by the complex network of these arrears is the operative system of business in Russia today. "It is based on an illusion about almost every important parameter: prices, sales, wages, taxes, and budgets".[4] The problem is that this makes the economy seem to be much larger than it really is, allowing for a larger government and larger expenditures than Russia can really afford. The government must stop living under the pretense of the virtual economy if it wishes to truly solve the problem of arrears, which hampers the long-term survival of the Russian economic system. Only a movement towards free markets can solve the wide array of problems affecting the system. While such actions involve directly changing structures within the economy as a whole, the good to be gained in establishing a viable economy would outweigh the consequences.

In January of 1992, inter-enterprise arrears in Russia were approximately R37 billion. By July of that year, however, the volume of arrears had grown to over R3.2 trillion.[5] While inter-enterprise borrowing is quite normal in most economies, it was unique in Russia because it re-

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placed other forms of financial activity, resulting in the explosive growth of debt. Although all payments transactions are legally required to take place within the banking system, enterprises continuing to adhere to the Soviet divide between cash and non-cash wages have developed a vast shadow economy in which they "pay" their suppliers and often, the government, through barter.[6] Enterprise managers do not have access to enough cash to pay all of their expenses, and have allowed arrears to pile up as inter-enterprise "loans", *de facto* non-cash payments. These loans are paid back either by accounting methods of canceling out debt, or "in kind", meaning the enterprise pays its debts with a portion of his end product, rather than cash wages. Workers are the one group within the economy who cannot receive pay in non-cash wages. Enterprises can typically get the cash necessary to pay their workers from two sources: from commercial banks via personal connections and influence, and from sales of consumer goods.

The virtual economy was established upon the network of arrears created by the use of non-cash wages for payment. In 1997, the Karpov commission reported that the country's largest companies conducted 73 percent of their business in barter and non-monetary means.[7] The commission also showed that these enterprises paid 80 percent of their taxes owed to the federal government, but that only 8 percent of these taxes were paid in cash. It can be inferred from this statistic that enterprises can now operate in Russia without paying their bills, a phenomenon which is possible because of the redistributive effect of arrears.

The original economic policy pursued by the Russian government was *shock therapy*. The key elements of the stabilization program initiated by Russian economist Yegor Gaidar were the liberalization of prices, combined with tight-money, and the replacement of the turnover tax with a value-added tax and a profits tax.[9] Advocated by the International Monetary Fund (IMF), the idea was that the freeing of prices "would bring scarce goods back into shops, that the curbing of budget deficit and the slowing of monetary growth would bring stability to a careening economy, and that the privatization process would encourage new entrepreneurship and the restructuring of old ailing enterprises".[10] In theory, the IMF may have been correct, but when applied these reforms did not obtain the expected results.

The Gaidar policy had strong microeconomic ramifications on the creation of the virtual economy. It was very easy for the Russian government to "free" prices and hold a tight monetary policy *de juris*, but as critical error, the accompanying program of restructuring and privatization necessary for the success of these reforms was not developed and implemented together. The Russian government's failure to do so "enabled well-placed individuals—traders and speculators who [could] dominate the emerging and largely unregulated markets, government officials whose authority [was] needed to approve various transactions, and enterprise managers with de facto control of important state assets—to enrich themselves handsomely at the expense of the general public".[11] The lining of pockets by the elite created a tremendous polarization between their small class of *novo ruskii* and the rest of the population.

The privatization process thus allowed the old leaders to maintain their leadership role within Russian society, reconfigured as the financial-industrial elite. In June 1992, the Russian parliament passed a comprehensive new law on privatization, establishing a "voucher" system of mass privatization for medium-sized and large state enterprises. Under this scheme the enterprises would be transformed into joint-stock companies with shares, and every Russian citizen would receive a voucher that entitled the holder to buy shares in the new stock market.[12] However, the Russians have little knowledge of how market economies work, so that most people had no idea what to do with their vouchers and sold them cheaply to those with useful insider information, i.e., the old Soviet *nomenklatura*.

On a macroeconomic level, the tight money policy advocated by the IMF and Gaidar could not feasibly be maintained. After price liberalization, Gaidar held down social-welfare programs and state-sector wages even though most prices were skyrocketing, leading to a series of strikes and demonstrations that ended in a humiliating government climb-down and a sudden surge in the budget deficit to 17 percent.[13] Russian economist Sergei Aleksashenko argues that "[Gaidar] was forced to increase wages and pay-

ments far higher than if he had agreed to index them to inflation in the first place".[14]

The key assumption of the Gaidar reform program was that enterprises could be induced to behave like market oriented firms. Subsidies were to be completely eliminated and enterprises were supposed to operate on hard budget constraints.[15] But enterprise managers were never instilled with a drive to compete and make a profit. The undeveloped democratic and market institutions that allowed the virtual economy to establish itself rewarded many of the same skills that were called upon in the old system. For example, the cultivating of relationships with key individuals, payments of bribes or exchanges of favors with other people whose goods or services one needs, and a willingness to bend rules and engage in semi-legal if not illegal transactions were rewarded as the financial-industrial leaders were able to amass more and more cash as their enterprises became more and more insolvent.[16] The aforementioned failure of Gaidar to stick to his shock therapy policy when pressured helped to reinforce the enterprise managers' beliefs that Gaidar's policy regime was not credible. The managers did not believe the government would be willing to tolerate the unemployment consequences that would result if a large number of enterprises were closed.[17] The idea of government-supported unemployment was entirely foreign to those who had been raised in the Soviet system of total employment. Because managers did not operate using hard-budget constraints, inefficient enterprises were not driven out of the economy by market competition. Real profits in industry were down 5 percent in 1997 and nearly half of industrial enterprises reported losses.[18]

The success of the Russian economy depended on the development of competitive and efficient industry. This economy did not develop because there was not enough cash within the system to allow for the payment of resources, labor, and taxes. Had there been enough cash, the inflation caused by price liberalization would have been accompanied by real growth in industry responded to the consumer demand for consumable goods. However, the failure of the Russian government to establish the political institutions necessary to regulate and enforce reform—tax codes, bankruptcy laws, courts, police forces—allowed enterprises to become controlled by industrialists who had much to gain from the continuation of the virtual economy. The Russian government has been extremely concerned with keeping levels of inflation down during the transition process. But applying this theory to the actual Russian economy served to hinder the development of industry and cement the control of the virtual economy by the financial-industrialists. As it stands, Western-style stagflation would be most welcome now in Russia, where the combination of galloping inflation and the *plummeting* of real output requires a new label like "depflation" to reflect the actual conditions of the depression.[19]

It is impossible to alter the way in which the Russian economy was established, and the virtual economy is a reality which must be considered when critiquing or developing economic policy in Russia. The major barrier to successful economic reform in Russia today is the political and economic control of the financial-industrial elite. As lobbyists, they are integrated in the political system, so that while policies designed to arrest the problem of inter-enterprise arrears have been developed, policies that address the real problem have never sincerely been pursued. The government reformists, as members of the financial elite, clearly would not be willing to take measures guaranteed to put themselves and their allies out of work and economic prosperity.

There is no quick way out of the current situation, given that the problem is political and not technical. However, while everyone within the Russian political system is self-interested, there are still some people who are better than others at conceptualizing the problems of the Russian economy. Despite the manner in which the financial-industrialists have allowed their personal interests to color their decision making, they probably never wished to undermine the market economy. The political events following the August 17 devaluation have altered this.

Yeltsin furiously dismissed Prime Minister Sergei Kiryenko after the devaluation caused the Russians to default on international loans and the stock market to further plummet as investors panicked. The Communist-dominated lower house of the Duma, increasingly gaining influence over ministerial appointments, succeeded in securing the appointment of Yevgeny Primakov as

a compromise figure. Primakov is pursuing a protectionist economic course,[21] hoping to get the support of the industrialists behind him as he increasingly re-nationalizes the economy. Attempting to lure industrialist's support for his protectionist measures, Primakov claims that they will allow the Russian industries to finally see real growth. This policy is misguided for several reasons. First, Primakov does not fully understand the virtual economy, and the fact that the real successes of the industrial sector have little effect on the status of the industrialists. Protectionist measures are typically pursued in order to protect developing (infant) industries for intense foreign competition. Protectionist policies would do little to aid the growth of Russian industry precisely because of the *lack* of competition within the Russian economy.

Primakov is also trying to appeal to the industrialists by asserting that accelerated bankruptcy proceedings will have no place within his administration,[22] an assurance that might appeal to enterprise managers recently affected by the bankruptcy policy of Tax Collector Boris Federov. However, the recent resignation of Federov from the cabinet is a major problem. To abandon the in-roads he has made would be to take a giant step backwards in what few reforms have succeeded. Primakov hopes to cut industrial taxes and pay arrears, policies which are politically popular but absolutely economically unfeasible. While it is possible that Primakov simply doesn't understand elementary economics, his actions have the potential to destroy the market economy and revert back to the Communist system of command economies. An early sign of this is his nationalization of the alcohol industry as a way for the government to earn cash to pay for sky rocketing wage arrears.

In order to truly address the problem of economic reform in Russia, I advocate the establishment of a *currency board* as a way in which to remove political control from economic policy.[23] The central idea of a currency board is to eliminate exchange-rate volatility and hyperinflation as threats to the economy.[24] It would guarantee the ruble's value by imposing a brutal discipline on the government: the mandatory use of foreign exchange reserves to back the ruble at a rate fixed by law. The reserves would be held overseas, and would be lost if the government were to reject the currency board. The Russian authorities would effectively relinquish their monetary sovereignty and fiscal discretion.[25] Admittedly, this is a radical plan, but the advantages are clear—it locks the Russian economic system into that of Western economies, halting any attempts Primakov would make to completely nationalize the economy. It would also the guarantee monetary and fiscal responsibility of the Russian government, a guarantee that could be quite influential in garnering the IMF loans the government is seeking to pay wage arrears. The currency board option addresses the primary problem hindering reforms of the Russian economy by taking monetary policy away from the bias of the politically powerful financial-industrial elite. This would be a first, but strong and meaningful step towards economic reform in Russia, particularly in the hopes of reversing the rising tide of nostalgia for Communist rule.

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"The Dead Stayed Home on Election Day, Voter Data Indicate"
— Headline in the 3 December 1998 ***New York Times***

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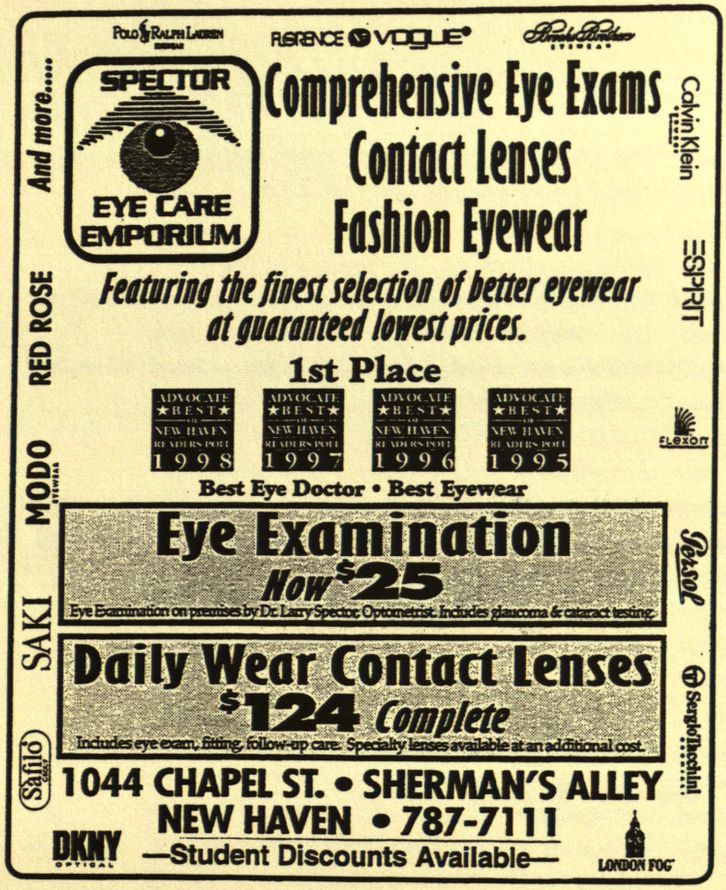
— a message sent by the **California Republican Party** to its e-mail list on Monday, 22 February 1999. By Tuesday, Reagan was in the lead by 25%, outpolling all other presidents on the list combined. Quoted on <http://www.excite.com/>.



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